



ACADIAN TIMBER CORP.
Q2 2025 INTERIM REPORT



Q2 2025 Interim Report

Letter to Shareholders¹

Overview

Acadian Timber Corp.'s ("Acadian" or the "Company") operations and financial results for the three months ended June 28, 2025 (the "second quarter") reflected both positive trends and operational challenges. Overall demand remained relatively stable despite ongoing economic uncertainty. In New Brunswick, favourable weather conditions and increased contractor availability supported strong timber sales volumes. However, operations in Maine were challenged by unfavourable weather conditions which impacted our ability to deliver to our customers as well as lower production during the ramp-up of internal logging operations.

Acadian generated \$0.8 million of Free Cash Flow² and declared dividends of \$5.2 million to our shareholders during the second quarter. Our balance sheet continues to be solid with \$15.1 million of net liquidity² as at June 28, 2025, which includes funds available under our credit facilities.

Results of Operations

Acadian is committed to health and safety as our number one priority. We believe that emphasizing and achieving a good safety record is a leading indicator of success in the broader business. Acadian's operations experienced two recordable safety incidents during the quarter among employees and one among contractors, which were minor in nature. We remain committed to maintaining a culture across the organization that emphasizes the importance of strong safety performance.

Acadian generated revenue from timber sales and services of \$17.1 million during the second quarter, compared to \$21.5 million in the prior year period. The second quarter of the prior year also included \$19.7 million in carbon credit sales, while no carbon credit sales occurred in the second quarter of 2025. Revenue from timber sales and services decreased primarily due to lower timber sales volumes, reduced timber services activity, and a decrease in the weighted average selling price of timber.

Timber sales volume, excluding biomass, decreased 13% compared to the second quarter of 2024. Timber sales volumes increased in New Brunswick driven by strong demand for softwood sawlogs and increased harvesting capacity. However, this increase was offset by lower sales volumes in Maine, as a result of unfavourable weather conditions combined with lower production during the ramp-up of internal logging operations.

Weighted average selling price, excluding biomass, decreased 4% year-over-year. Softwood sawlog and pulpwood prices remained relatively stable, as compared to the second quarter of 2024. Hardwood sawlog prices decreased as compared to the prior year period due to continued weakness in lumber markets, while hardwood pulpwood pricing decreased due to shorter hauling distances and lower demand. Lower fuel adjustment surcharges, resulting from lower fuel prices, particularly in New Brunswick, also impacted pricing.

Operating costs and expenses were \$15.4 million during the second quarter, compared to \$32.2 million during the prior year period. Included in operating costs and expenses for the second quarter of 2024 was \$15.2 million related to sales of carbon credits. Operating costs and expenses related to timber sales and services decreased \$1.5 million from the prior year period as a result of decreased timber sales volumes and timber services activity, partially offset by higher average operating costs and expenses per m³ produced in Maine as a result of the transition to internal logging operations, which had lower production and a more fixed cost structure.

Adjusted EBITDA was \$2.4 million during the second quarter compared to \$20.6 million in the prior year period. Included in Adjusted EBITDA in the prior year period was \$15.7 million related to carbon credit sales. Adjusted EBITDA margin for the quarter was 14% compared to 50% in the prior year period. Free Cash Flow was \$0.8 million compared to \$16.4 million in the prior year period.

Net income for the second quarter totaled \$2.7 million, or \$0.15 per share, compared to net income of \$7.9 million, or \$0.46 per share, in the same period of 2024, due to lower operating income and higher interest expense, partially offset by lower income tax expense.

Outlook¹

Near-term pressures on end use markets persist, and the potential for tariffs is concerning for forest products companies in both the U.S. and Canada. However, North American interest rates and inflation are showing signs of easing, and the consensus forecast for U.S. housing starts is steady at approximately 1.37 million starts in 2025, as compared to 1.35 million in 2024. We remain confident that the stability of the northeastern forestry sector, combined with long-term demand for new homes and repair and remodel activity, will support the long-term demand for our products.

We maintained sufficient contractor availability in New Brunswick through the second quarter, which is expected to continue for the remainder of the year. Although production in Maine was challenged during the second quarter, with continued focus on the internal logging operations, we expect to increase production levels while advancing toward our targeted cost structure.

Demand for Acadian's sawlogs is mainly driven by regional supply and demand. Near-term sawlog demand is expected to remain stable while pricing may remain challenged until end-use markets improve. Demand and pricing for softwood pulpwood and hardwood pulpwood is expected to remain at reduced levels in the near term.

With respect to voluntary carbon credits, demand and pricing are expected to remain stable. Issuance of the next tranches of carbon credits from Acadian's current project has been delayed due to the transition to ACR's updated Improved Forest Management protocol. However, registration of additional carbon credits is anticipated for 2025, and the updated protocol is expected to improve the marketability of the resulting carbon credits. The protocol for developing compliance market carbon credits from managed forests in Canada was finalized during 2024; Acadian is evaluating the opportunities to develop eligible carbon credits that the compliance protocol may present, in conjunction with the opportunities that exist under voluntary protocols.

Looking Ahead¹

Supported by a strong balance sheet, diverse markets, and a highly skilled and dedicated team, Acadian is well-positioned to navigate evolving operational and economic conditions. The second half of the year offers significant potential for continued progress towards both our operational and financial goals.

Through the remainder of 2025, we will remain focused on safety and environmental performance, while obtaining the highest margins available for our products and making improvements throughout the business to maximize cash flows.

On behalf of the Board of Directors and management of Acadian, thank you to all our shareholders for their ongoing support.



Adam Sheparsi
President and Chief Executive Officer
August 6, 2025

1. *This Letter to Shareholders contains forward-looking information within the meaning of applicable Canadian securities laws that involve known and unknown risks, uncertainties and other factors that may cause actual results, performance or achievements to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. Please refer to the section entitled "Cautionary Statement Regarding Forward-Looking Information and Statements" in Management's Discussion and Analysis for further details.*
2. *Adjusted EBITDA and Free Cash Flow are key performance measures in evaluating Acadian's operations and are important in enhancing investors' understanding of the Company's operating performance. Adjusted EBITDA is indicative of the underlying profitability of Acadian's operating segments and is used to evaluate operational performance. Free Cash Flow is used to evaluate Acadian's ability to generate sustainable cash flows from operations that are available for dividends, repurchases of common shares, debt reduction, acquisitions, and other capital allocation activities. Acadian's management defines Adjusted EBITDA as net income before interest, income taxes, fair value adjustments, non-cash cost of sales related to carbon credits, recovery of or impairment of land and roads and depreciation and amortization. Free Cash Flow is defined as Adjusted EBITDA less interest paid, current income tax expense, capital expenditures excluding acquisitions of timberlands and non-cash expenditures, and mandatory debt repayments, plus net proceeds from the sale of timberlands and other fixed assets (proceeds less gains or losses). Reference is also made to "net liquidity" which includes cash and cash equivalents and funds available under credit facilities less amounts reserved to support the minimum cash balance related to long-term debt. Please refer to the section entitled "Non-IFRS Measures" in Management's Discussion and Analysis for further details.*

MANAGEMENT'S DISCUSSION AND ANALYSIS

(All figures in Canadian dollars unless otherwise stated)

August 6, 2025

INTRODUCTION

Acadian Timber Corp. ("Acadian", the "Company" or "we") is one of the largest timberland owners in Eastern Canada and the Northeastern U.S. and has a total of approximately 2.4 million acres of land under management. Acadian owns and manages approximately 775,000 acres of freehold timberlands in New Brunswick ("New Brunswick Timberlands") and approximately 300,000 acres of freehold timberlands in Maine ("Maine Timberlands") and provides timber services relating to approximately 1.3 million acres of Crown licensed timberlands in New Brunswick.

Acadian's primary business is forest management and the production of timber products, including softwood and hardwood sawlogs, pulpwood, and biomass by-products, sold to approximately 90 regional customers. Acadian also generates income through other operations, including real estate and environmental solutions.

Acadian's business strategy is to maximize cash flows from its existing timberland assets through sustainable forest management and other land use activities while growing its business by acquiring assets and actively managing these assets to drive improved performance.

Basis of Presentation

This management's discussion and analysis ("MD&A") discusses the financial condition and results of operations of the Company for the three and six months ended June 28, 2025 (herein referred to as the "second quarter") compared to the three and six months ended June 29, 2024 and should be read in conjunction with the unaudited interim condensed consolidated financial statements and notes thereto for the second quarter and the audited annual consolidated financial statements and the related MD&A for the fiscal year ended December 31, 2024.

Our second quarter unaudited interim condensed consolidated financial statements have been prepared in accordance with IAS 34 "Interim Financial Reporting" using the accounting policies adopted and disclosed in Note 2 of Acadian's audited 2024 consolidated financial statements and as updated in Note 2 of the second quarter unaudited condensed consolidated financial statements, and are expressed in Canadian dollars unless otherwise noted. External economic and industry factors remain broadly unchanged since the previous annual report, unless otherwise noted. This MD&A has been prepared based on information available as at August 6, 2025. Additional information is available on Acadian's website at www.acadiantimber.com and on SEDAR+ at www.sedarplus.ca

Non-IFRS Measures

Throughout this MD&A, reference is made to "Adjusted EBITDA", which Acadian's management defines as net income before interest, income taxes, fair value adjustments, non-cash cost of sales related to carbon credits, recovery of or impairment of land and roads and depreciation and amortization, and to "Adjusted EBITDA margin", which is Adjusted EBITDA as a percentage of sales. Reference is also made to "Free Cash Flow", which Acadian's management defines as Adjusted EBITDA less interest paid, current income tax expense, capital expenditures excluding acquisitions of timberlands and non-cash expenditures, and mandatory debt repayments plus net proceeds from the sale of timberlands and other fixed assets (proceeds less gains or losses). Reference made to "Payout Ratio" is defined as dividends declared divided by Free Cash Flow and "Payout Ratio with DRIP" is defined as dividends paid in cash divided by Free Cash Flow. Management believes that Adjusted EBITDA, Adjusted EBITDA margin, Free Cash Flow, and Payout Ratios are key performance measures in evaluating Acadian's operations and are important in enhancing investors' understanding of the Company's operational performance. Adjusted EBITDA and Adjusted EBITDA margin are indicative of the underlying profitability of Acadian's operating segments and are used to evaluate operational performance. Free Cash Flow is used to evaluate Acadian's ability to generate sustainable cash flows from operations that are available for dividends, repurchases of common shares, debt reduction, acquisitions, and other capital allocation activities. We have provided reconciliations of net income as determined in accordance with IFRS, to Adjusted EBITDA and Free Cash Flow in the "Adjusted EBITDA and Free Cash Flow" section of this MD&A. Reference is also made to "net liquidity" which includes cash and cash equivalents and funds available under credit

facilities less amounts reserved to support the minimum cash balance related to long-term debt.

As these measures do not have a standardized meaning prescribed by IFRS, they may not be comparable to similar measures presented by other companies.

Assessment and Changes in Disclosure Controls and Internal Controls

Management, including the Chief Executive Officer and Chief Financial Officer, have evaluated the effectiveness of the design and operation of the Company's disclosure controls and procedures as at December 31, 2024. There have been no changes in our disclosure controls and procedures during the six months ended June 28, 2025 that have materially affected, or are reasonably likely to materially affect, our disclosure controls and procedures.

Management, including the Chief Executive Officer and Chief Financial Officer, have also evaluated the design and effectiveness of our internal controls over financial reporting in accordance with Multilateral Instrument 52-109 using the COSO Framework 2013 as at December 31, 2024. There have been no changes in our internal controls over financial reporting during the six months ended June 28, 2025 that have materially affected, or are reasonably likely to materially affect, our internal controls over financial reporting.

REVIEW OF OPERATIONS

Summary of Second Quarter Results

The table below summarizes operating and financial data for Acadian:

<i>(CAD thousands, except volume and per share information)</i>	Three Months Ended		Six Months Ended	
	June 28, 2025	June 29, 2024	June 28, 2025	June 29, 2024
Timber sales volume (000s m ³)	191.0	210.5	457.9	457.5
Carbon credit sales volume (000s credits)	—	600.0	—	752.1
Timber sales and services	\$ 17,129	\$ 21,533	\$ 41,963	\$ 45,412
Carbon credit sales	—	19,658	—	24,588
Operating income	1,698	8,947	6,119	16,545
Net income	2,667	7,913	6,325	13,938
Adjusted EBITDA ¹	\$ 2,415	\$ 20,556	\$ 7,094	\$ 31,155
Adjusted EBITDA margin ¹	14%	50%	17%	45%
Free Cash Flow ¹	\$ 777	\$ 16,370	\$ 3,787	\$ 24,140
Dividends declared	5,213	5,044	10,381	10,048
Dividends paid in cash	2,591	2,589	5,182	6,312
Payout Ratio ^{1,2}			274%	42%
Payout Ratio with DRIP ^{1,2}			137%	26%
Per share – basic and diluted				
Net income	\$ 0.15	\$ 0.46	\$ 0.35	\$ 0.81
Free Cash Flow ¹	0.04	0.94	0.21	1.39
Book value	18.73	18.91	18.73	18.91
Dividends declared per share	0.29	0.29	0.58	0.58
Common shares outstanding ³	17,976,713	17,392,634	17,976,713	17,392,634
Weighted average shares outstanding	17,947,895	17,368,399	17,866,223	17,311,912

1. Non-IFRS Measure. See "Non-IFRS Measures" on page 3 of this report.

2. Seasonal fluctuations in timber volume and variability in carbon credit revenue render quarterly Payout Ratios not meaningful.

3. As at August 6, 2025 there were 18,123,203 common shares outstanding.

While the second quarter of the year is traditionally our weakest due to seasonal operating conditions, operating activity in Maine was impacted by prolonged wet conditions which significantly delayed the commencement of deliveries in the spring.

Acadian generated revenue from timber sales and services revenue of \$17.1 million during the second quarter, compared to \$21.5 million in the prior year period. The second quarter of the prior year also included \$19.7 million in carbon credit sales, while no carbon credit sales occurred in the second quarter of 2025.

Revenue from timber sales and services decreased primarily due to lower timber sales volumes in Maine, reduced timber services activity, and a decrease in the weighted average selling price of timber. Timber sales volume, excluding biomass, decreased 13% compared to the second quarter of 2024. Timber sales volumes increased in New Brunswick driven by strong demand for softwood sawlogs and increased harvesting capacity. However, this increase was offset by lower sales volumes in Maine, as a result of unfavourable weather conditions combined with lower production during the ramp-up of internal logging operations. Timber services revenue decreased 41% reflecting a favourable change in customer mix which redirected harvesting from Crown licensed timberlands to our freehold operations. The shift decreased our timber services revenue and increased sales from our freehold timberlands.

Weighted average selling price, excluding biomass, decreased 4% year-over-year. Softwood sawlog and pulpwood prices remained relatively stable, as compared to the second quarter of 2024. Hardwood sawlog prices decreased as compared to the prior year period due to continued weakness in lumber markets, while hardwood pulpwood pricing decreased due to shorter hauling distances and lower demand compared to the prior year period. Lower fuel adjustment surcharges, resulting from lower fuel prices, particularly in New Brunswick, also impacted pricing.

Operating costs and expenses were \$15.4 million during the second quarter, compared to \$32.2 million during the prior year period. Included in operating costs and expenses for the second quarter of 2024 was \$15.2 million related to sales of carbon credits. Operating costs and expenses related to timber sales and services decreased \$1.5 million from the prior year period as a result of decreased timber sales volumes and timber services activity, partially offset by higher average operating costs and expenses per m³ produced in Maine as a result of the transition to internal logging operations and a more fixed cost structure.

Adjusted EBITDA was \$2.4 million during the second quarter compared to \$20.6 million in the prior year period. Included in Adjusted EBITDA in the prior year period was \$15.7 million related to carbon credit sales. Adjusted EBITDA margin for the quarter was 14% compared to 50% in the prior year period. Free Cash Flow was \$0.8 million compared to \$16.4 million in the prior year period.

Net income for the second quarter totaled \$2.7 million, or \$0.15 per share, compared to net income of \$7.9 million, or \$0.46 per share, in the same period of 2024, due to lower operating income and higher interest expense, partially offset by lower income tax expense.

During the first half of 2025, Acadian generated revenue from timber sales and services of \$42.0 million compared to \$45.4 million in the prior year period. Carbon credit sales contributed an additional \$24.6 million to sales in the first half of 2024 while no carbon credit sales occurred in the first half of 2025.

Timber sales volumes, excluding biomass, and the weighted average selling price both decreased by 4%, as compared to the first half of 2024. Operating costs and expenses of \$35.8 million were \$17.6 million lower year-over-year. Included in operating costs and expenses for the first half of 2024 were \$18.9 million related to carbon credit sales. Operating costs and expenses related to timber sales and services increased 4% compared to the prior year period with the impact of reduced sales volumes offset by higher average operating costs and expenses per m³ produced in Maine.

Adjusted EBITDA of \$7.1 million was \$24.1 million lower compared to the prior year period with \$19.8 million attributable to the sale of carbon credits in 2024.

For the six months ended June 28, 2025, net income was \$6.3 million, or \$0.35 per share, a decrease of \$7.6 million compared to the prior year period, primarily the result of lower operating income partially offset by lower income tax expense.

Adjusted EBITDA and Free Cash Flow

The following table provides a reconciliation of net income, as determined in accordance with IFRS, to Adjusted EBITDA and Free Cash Flow during each respective period:

	Three Months Ended		Six Months Ended	
(CAD thousands)	June 28, 2025	June 29, 2024	June 28, 2025	June 29, 2024
Net income	\$ 2,667	\$ 7,913	\$ 6,325	\$ 13,938
Add / (deduct):				
Interest expense, net	1,069	887	1,885	1,746
Income tax expense	906	3,170	2,429	6,146
Depreciation and amortization	581	128	817	230
Fair value adjustments and other	(2,808)	(2,894)	(4,362)	(5,083)
Non-cash cost of sales related to carbon credits ²	—	11,352	—	14,178
Adjusted EBITDA ¹	\$ 2,415	\$ 20,556	\$ 7,094	\$ 31,155
Add / (deduct):				
Interest paid on debt, net	(1,055)	(892)	(1,952)	(1,721)
Additions to land, roads, and other fixed assets	(258)	(320)	(800)	(448)
Mandatory debt repayments	(166)	—	(220)	—
Gain on sale of timberlands and other fixed assets	(136)	(129)	(158)	(202)
Proceeds from sale of timberlands and other assets	163	138	586	217
Current income tax expense	(186)	(2,983)	(763)	(4,861)
Free Cash Flow ¹	\$ 777	\$ 16,370	\$ 3,787	\$ 24,140
Dividends declared	\$ 5,213	\$ 5,044	\$ 10,381	\$ 10,048
Dividends paid in cash	\$ 2,591	\$ 2,589	\$ 5,182	\$ 6,312
Payout Ratio ^{1,3}			274%	42%
Payout Ratio with DRIP ^{1,3}			137%	26%

1. Non-IFRS Measure. See "Non-IFRS Measures" on page 3 of this report.

2. A portion of the book value of carbon credit inventory originates in transfers of fair value from timber and is recorded as an expense at the time of a sale. These amounts are added back to Adjusted EBITDA to be consistent with the treatment of fair value adjustments to timber.

3. Seasonal fluctuations in timber volume and variability in carbon credit revenue render quarterly Payout Ratios not meaningful.

Dividend Policy of the Company

Acadian declares dividends from its available cash to the extent determined prudent by the Board of Directors. Dividends are paid on or about the 15th day following each dividend record date.

Total dividends declared to shareholders during the three months and six months ended June 28, 2025 were \$5.2 million, or \$0.29 per share, and \$10.4 million, or \$0.58 per share, respectively, compared to \$5.0 million, or \$0.29 per share, and \$10.0 million, or \$0.58 per share, during the same periods in 2024.

Acadian has in place a dividend reinvestment plan ("DRIP") effective with eligible shareholders whereby Canadian resident shareholders may elect to automatically have their dividends reinvested in additional shares issued directly from the treasury of the Company. During the three months and six months ended June 28, 2025, Acadian issued 146,490 and 293,252 common shares in accordance with the DRIP.

Macer Forest Holdings Inc. ("Macer"), which owns approximately 50% of the outstanding common shares of Acadian, participates in the DRIP for 100% of dividends payable to it.

Operating and Market Conditions

Acadian's operations during the second quarter experienced mixed but generally stable demand for its products. Sales volume, excluding biomass, of 180,800 m³ was 13% lower than the same period in 2024. New Brunswick experienced a strong operational quarter, driven by favourable weather conditions and increased harvesting capacity. Increased harvesting capacity stemmed from a favourable change in customer mix which redirected harvesting from Crown licensed timberlands to our freehold operations, while Maine experienced operational challenges from unfavourable weather conditions and lower productivity during the ramp-up of internal logging operations.

The weighted average selling price of timber, excluding biomass, decreased 4% year-over-year. Softwood sawlog pricing increased 2% primarily due to strong demand while hardwood sawlog pricing decreased 5% due to weakness in hardwood lumber markets. Softwood pulpwood pricing decreased 2% as a result of lower demand in Maine while hardwood pulpwood pricing decreased 8% also due to lower demand, combined with shorter hauling distances, as compared to the prior year. Lower fuel adjustment surcharges, resulting from lower fuel prices, particularly in New Brunswick, also impacted pricing.

Biomass volumes increased 237% and pricing increased 68% due to changes in product mix.

Segmented Results of Operations

The table below summarizes financial results by segment:

	Three Months Ended		Six Months Ended	
	June 28, 2025	June 29, 2024	June 28, 2025	June 29, 2024
Sales				
New Brunswick Timberlands	\$ 14,432	\$ 16,217	\$ 36,500	\$ 35,287
Maine Timberlands	2,697	5,316	5,463	10,125
Environmental Solutions	—	19,658	—	24,588
Total	\$ 17,129	\$ 41,191	\$ 41,963	\$ 70,000
Adjusted EBITDA				
New Brunswick Timberlands	\$ 3,964	\$ 4,523	\$ 9,855	\$ 10,519
Maine Timberlands	(937)	887	(1,611)	2,050
Environmental Solutions	—	15,701	—	19,839
Corporate	(612)	(555)	(1,150)	(1,253)
Total	\$ 2,415	\$ 20,556	\$ 7,094	\$ 31,155

New Brunswick Timberlands

New Brunswick Timberlands owns and manages approximately 775,000 acres of freehold timberlands and provides harvesting and management services relating to approximately 1.3 million acres of Crown licensed timberlands. All harvesting operations are performed by third-party contractors.

During the second quarter of 2025, Acadian's New Brunswick operations experienced no recordable safety incidents among employees and one among contractors, which was minor in nature.

The table below summarizes operating and financial results for New Brunswick Timberlands:

	Three Months Ended		Six Months Ended	
(CAD thousands, except volume)	June 28, 2025	June 29, 2024	June 28, 2025	June 29, 2024
Sales (000s m ³)				
Softwood	102.3	87.6	231.3	201.5
Hardwood	55.7	63.8	139.8	135.9
Biomass	6.8	0.9	32.8	13.9
Total	164.8	152.3	403.9	351.3
Sales (\$000s)				
Softwood	\$ 7,574	\$ 6,319	\$ 16,867	\$ 15,234
Hardwood	4,657	5,959	12,735	12,703
Biomass	100	13	523	708
Total	\$ 12,331	\$ 12,291	\$ 30,125	\$ 28,645
Timber services and other	2,101	3,926	6,375	6,642
Total Sales (\$000s)	\$ 14,432	\$ 16,217	\$ 36,500	\$ 35,287
Adjusted EBITDA (\$000s)	\$ 3,964	\$ 4,523	\$ 9,855	\$ 10,519
Adjusted EBITDA margin	27%	28%	27%	30%

Sales for New Brunswick Timberlands were \$14.4 million compared to \$16.2 million during the prior year period, with increased sales volumes offset by a lower weighted average selling price and lower timber services activity. Timber sales volume, excluding biomass, increased 4% due primarily to a favourable change in customer mix which redirected harvesting from Crown licensed timberlands to our freehold operations. The shift decreased our timber services revenue and increased sales from our freehold timberlands. Biomass sales volume increased significantly due to increased demand.

The weighted average selling price, excluding biomass, for the second quarter was \$77.44 per m³, or 4% lower than the prior year period. Softwood sawlog and softwood pulpwood pricing increased 5% and 2% primarily due to stable demand. These increases were offset by a 4% decrease in hardwood sawlog pricing due to weakness in hardwood lumber markets and a 7% decrease in hardwood pulpwood pricing resulting from shorter hauling distances. Lower fuel adjustment surcharges resulting from lower fuel prices also impacted pricing.

Operating costs and expenses were \$10.7 million during the second quarter, compared to \$11.8 million in the prior year period. Increased harvesting activity was offset by decreased weighted average variable costs and lower timber services activity. Weighted average variable costs, excluding biomass, decreased 5% as a result of a higher proportion of softwood products which carry lower variable costs, and lower fuel adjustment costs, partially offset by increased contractor rates.

Adjusted EBITDA for the quarter was \$4.0 million compared to \$4.5 million during the prior year period and Adjusted EBITDA margin was 27% compared to 28%.

During the first half of 2025, New Brunswick Timberlands' sales of \$36.5 million were 3% higher than the prior year period. Timber sales volume, excluding biomass, increased by 10% due to greater contractor availability. However, this was offset by a 4% decrease in the weighted average selling price and reduced timber services activity. Operating costs and expenses totaled \$26.9 million, an increase of \$2 million from the prior year, primarily reflecting higher sales volumes and increased contractor rates, partially offset by a greater proportion of softwood products which carry lower variable costs, and lower fuel adjustment costs. Adjusted EBITDA was \$9.9 million compared to \$10.5 million in the first half of 2024, and Adjusted EBITDA margin was 27% compared to 30%.

Maine Timberlands

Maine Timberlands owns and manages approximately 300,000 acres of freehold timberlands.

There were two recordable safety incidents among employees, which were minor in nature, and none among contractors, during the second quarter of 2025.

Internal Logging Operations¹

Prior to January 1, 2025, all harvesting operations in Maine were performed by third-party contractors. During the first quarter of 2025, Acadian established its own internal logging operations. This occurred through two initiatives.

In January 2025, Acadian purchased several pieces of harvesting equipment for \$2.4 million and hired equipment operators to conduct harvesting operations on Acadian's Maine Timberlands.

On February 28, 2025, Acadian acquired certain logging and related assets of A & A Brochu, LLC ("A & A Brochu") and its affiliates for total cash consideration of \$6.9 million. The assets include harvesting, trucking and road working equipment and related real estate which, combined with an established workforce, constitute a portion of A & A Brochu's logging operation in Maine.

Recognized amounts of assets acquired from A & A Brochu are as follows:

<i>(CAD thousands)</i>		
Equipment	\$	5,235
Land and buildings		1,461
Intangible assets		234
Total identifiable assets acquired	\$	6,930

The fair values are provisional, pending completion of a detailed inventory and fair value assessment of all assets acquired. No liabilities were assumed.

Although some operations will continue to be performed by external contractors in Maine in the near term, these initiatives represent a significant transition away from contracted logging operations in Maine. As expected during ramp-up, during the first half of 2025, production volumes were well below anticipated long-term levels, and operating costs per m³ of timber produced were elevated relative to long-term targets. Additionally, the transition to a more fixed cost structure has resulted in changes from historical cost patterns, with costs less directly tied to revenue generated. This impact is amplified in the second quarter because of the lower sales volumes.

Acadian is actively investing in operator training programs, optimizing equipment utilization, and expanding its operational workforce to support this strategic shift and complete the ramp-up. These efforts are designed to enhance efficiency, build long-term capabilities, and ensure sustained cost improvements. As internal operations continue to scale, Acadian expects to increase production capacity and drive greater cost efficiency in Maine.

¹ The following contains forward-looking information about Acadian Timber Corp.'s outlook. Reference should be made to the section entitled "Cautionary Statement Regarding Forward-Looking Information and Statements" for further details. For a description of material factors that could cause actual results to differ materially from the forward-looking information in the following, please see the Risk Factors section of Acadian's most recent Annual Report and Annual Information Form available on our website at www.acadiantimber.com or www.sedarplus.ca.

The table below summarizes operating and financial results for Maine Timberlands:

(CAD thousands, except volume)	Three Months Ended		Six Months Ended	
	June 28, 2025	June 29, 2024	June 28, 2025	June 29, 2024
Sales (000s m ³)				
Softwood	13.1	30.4	30.6	60.1
Hardwood	9.8	25.6	19.1	43.7
Biomass	3.3	2.2	4.3	2.4
Total	26.2	58.2	54.0	106.2
Sales (\$000s)				
Softwood	\$ 1,332	\$ 2,745	\$ 2,850	\$ 5,703
Hardwood	928	2,294	1,806	3,878
Biomass	87	21	113	23
Total	\$ 2,347	\$ 5,060	\$ 4,769	\$ 9,604
Timber services and other	350	256	694	521
Total Sales (\$000s)	\$ 2,697	5,316	\$ 5,463	10,125
Adjusted EBITDA (\$000s)	\$ (937)	\$ 887	\$ (1,611)	\$ 2,050
Adjusted EBITDA margin	(35%)	17%	(29%)	20%

Sales for Maine Timberlands during the second quarter totaled \$2.7 million compared to \$5.5 million in the prior year period. Timber sales volume, excluding biomass, decreased 59% reflecting unfavourable weather conditions and the short-term productivity constraints discussed above.

The weighted average selling price, excluding biomass, in Canadian dollar terms was \$98.73 per m³, compared to \$89.97 per m³ during the same period of 2024. In U.S. dollar terms, the weighted average selling price, excluding biomass, was \$71.58 per m³, compared to \$65.76 per m³ in 2024. Increased softwood sawlog pricing of 4% resulting from strong demand and a favourable product mix was offset by a decrease in hardwood pulpwood pricing of 6% resulting from a decrease in demand. Hardwood sawlog and softwood pulpwood volumes were minimal during the quarter.

Operating costs and expenses for the second quarter were \$4.1 million, compared to \$4.6 million during the same period in 2024. Decreased costs resulting from lower timber sales volumes were partially offset by higher average operating costs and expenses per m³ produced. This increase is attributable to the lower production during the ramp-up of internal logging operations, as well as the transition to a more fixed cost structure.

Adjusted EBITDA for the quarter was \$(0.9) million compared to \$0.9 million during the prior year period and Adjusted EBITDA margin was (35)% compared to 17%.

During the first half of 2025, Maine Timberlands' sales were \$5.5 million compared to \$10.1 million in the first half of 2024. Timber sales volumes, excluding biomass, were 52% lower than the first half of 2024 for the same reasons cited above. The weighted average selling price, excluding biomass, decreased 2% in U.S. dollar terms but increased 2% in Canadian dollar terms. Operating costs and expenses of \$7.6 million during the first half of 2025 were \$0.7 million lower than the prior year period as a result of lower harvesting activity partially offset by higher operating costs and expenses per m³ produced for the same reasons cited above.

Environmental Solutions¹

Environmental Solutions leverages the ecological functions of Acadian's land and the operational expertise of its team to address pressing environmental challenges, such as climate change and biodiversity. In line with these objectives, Acadian has undertaken a voluntary carbon credit project which increases carbon sequestration and provides significant environmental benefits on the portion of our Maine Timberlands that is subject to a working forest conservation easement.

The project is registered on the ACR under the name Anew – Katahdin Forestry Project, and requires balancing harvest and growth, long-term planning, periodic carbon inventory verification, and maintenance of Acadian's sustainable forestry certification.

During the first half of 2024, 752,100 carbon credits were sold. No sales occurred during the first half of 2025.

The table below summarizes operating and financial results for Environmental Solutions:

(CAD thousands, except credits)	Three Months Ended		Six Months Ended	
	June 28, 2025	June 29, 2024	June 28, 2025	June 29, 2024
Sales volume (000s credits)	—	600.0	—	752.1
Sales (\$000s)	\$ —	\$ 19,658	\$ —	\$ 24,588
Adjusted EBITDA (\$000s)	\$ —	\$ 15,701	\$ —	\$ 19,839

The ACR has developed Version 2.1 of the Improved Forest Management protocol, which is fundamentally the same approach as the previous protocol but introduces dynamic baselines. Carbon credits assessed using the new protocol are expected to be more appealing to customers, thereby commanding higher pricing. Acadian's project is currently being transitioned to the new protocol, which has resulted in a delay in the registration process for the second and third tranches of carbon credits for the project. Registration is expected in the second half of 2025.

The transition to the new protocol may result in slightly fewer total carbon credits being issued than was expected under the initial protocol. However, all credits generated will be higher-valued carbon removal credits, and no conservation credits will be generated. Actual credit issuances will be adjusted each reporting period based on actual harvesting, natural disturbances, and other factors, as well as periodic updating for inventory and verification activities.

This project has provided valuable experience to the Acadian management team and has formed the foundation for potential carbon credit developments in the future.

Tariffs on U.S. Imports¹

During the first half of 2025, the U.S. government implemented and amended tariffs of varying amounts on varying U.S. imports from Canada. A new 35% duty on Canadian goods was announced August 1 to become effective August 7. However, the tariff does not apply to Canadian goods that are exempted by the USMCA free-trade agreement. Therefore, there are currently no tariffs in place applicable to Acadian's products. It is unclear if and when any changes to tariffs will be applied and whether other factors will support a pass through of all or a part of the tariffs to the market.

Acadian's products exported from New Brunswick to the U.S. may be subject to future tariffs, which may adversely impact the price of and demand for these products. Further, the impact of the tariff on Acadian's customers may adversely impact the price of and demand for Acadian's products sold within Canada. Conversely, the price of and demand for Acadian's products derived from our Maine Timberlands may be favourably impacted.

¹ The following contains forward-looking information about Acadian Timber Corp.'s outlook. Reference should be made to the section entitled "Cautionary Statement Regarding Forward-Looking Information and Statements" for further details. For a description of material factors that could cause actual results to differ materially from the forward-looking information in the following, please see the Risk Factors section of Acadian's most recent Annual Report and Annual Information Form available on our website at www.acadiantimber.com or www.sedarplus.ca.

LIQUIDITY AND CAPITAL RESOURCES¹

Acadian had net liquidity of \$15.1 million as at June 28, 2025, which includes cash and funds available under credit facilities less amounts reserved to support the minimum cash balance related to long-term debt.

Liquidity and capital resources are discussed in the Company's MD&A for the year ended December 31, 2024.

OUTLOOK¹

Near-term pressures on end use markets persist, and the potential for tariffs is concerning for forest products companies in both the U.S. and Canada. However, North American interest rates and inflation are showing signs of easing, and the consensus forecast for U.S. housing starts is steady at approximately 1.37 million starts in 2025, as compared to 1.35 million in 2024. We remain confident that the stability of the northeastern forestry sector, combined with long-term demand for new homes and repair and remodel activity, will support the long-term demand for our products.

We maintained sufficient contractor availability in New Brunswick through the second quarter, which is expected to continue for the remainder of the year. Although production in Maine was challenged during the second quarter, with continued focus on the internal logging operations, we expect to increase production levels while advancing toward our targeted cost structure.

Demand for Acadian's sawlogs is mainly driven by regional supply and demand. Near-term sawlog demand is expected to remain stable while pricing may remain challenged until end-use markets improve. Demand and pricing for softwood pulpwood and hardwood pulpwood is expected to remain at reduced levels in the near term.

With respect to voluntary carbon credits, demand and pricing are expected to remain stable. Issuance of the next tranches of carbon credits from Acadian's current project has been delayed due to the transition to ACR's updated Improved Forest Management protocol. However, registration of additional carbon credits is anticipated for 2025, and the updated protocol is expected to improve the marketability of the resulting carbon credits. The protocol for developing compliance market carbon credits from managed forests in Canada was finalized during 2024; Acadian is evaluating the opportunities to develop eligible carbon credits that the compliance protocol may present, in conjunction with the opportunities that exist under voluntary protocols.

SELECTED CONSOLIDATED QUARTERLY INFORMATION

The table below sets forth selected consolidated quarterly information for the current and last seven quarters.

	2025		2024				2023	
<i>(CAD thousands, except per share data and where indicated)</i>								
	Q2	Q1	Q4	Q3	Q2	Q1	Q4	Q3
Timber sales volume (000s m ³)	191.0	266.9	232.3	287.4	210.5	247.0	231.9	272.9
Carbon credit sales volumes (000s credits)	—	—	—	—	600.0	152.1	1.5	—
Timber sales and services	\$ 17,129	\$ 24,834	\$ 20,226	\$ 25,959	\$ 21,533	\$ 23,879	\$ 23,778	\$ 26,593
Carbon credit sales	\$ —	\$ —	—	—	19,658	4,930	37	—
Adjusted EBITDA ¹	2,415	4,679	3,698	4,039	20,556	10,599	4,418	4,916
Free Cash Flow ¹	777	3,010	3,051	2,540	16,370	7,770	2,811	4,312
Net income	2,667	3,659	5,585	2,215	7,913	6,025	11,593	6,408
Per share – basic and diluted	\$ 0.15	\$ 0.21	\$ 0.32	\$ 0.13	\$ 0.46	\$ 0.35	\$ 0.68	\$ 0.37

1. Non-IFRS Measure. See "Non-IFRS Measures" on page 3 of this report.

¹ The following contains forward-looking information about Acadian Timber Corp.'s outlook for the remainder of 2025. Reference should be made to the section entitled "Cautionary Statement Regarding Forward-Looking Information and Statements" for further details. For a description of material factors that could cause actual results to differ materially from the forward-looking information in the following, please see the Risk Factors section of Acadian's most recent Annual Report and Annual Information Form available on our website at www.acadiantimber.com or www.sedarplus.ca.

Results are impacted by seasonality. Harvest activity is highest during the winter months, when the ground is frozen, providing a solid base for harvesting and hauling equipment. There is a significant decrease in activity during the spring when the ground thaws. Harvesting activity resumes in the early summer when the ground dries and continues through the fall.

Net income can be significantly impacted by non-cash items such as fluctuations in foreign exchange and the fair value adjustment of the Company's timberlands, which are revalued at each reporting period. During the fourth quarter of 2024, Acadian recorded a fair value adjustment gain on timberlands which increased net income by \$12.8 million.

During the first and second quarters of 2024, Acadian sold significant volumes of voluntary carbon credits, which increased Adjusted EBITDA by \$4.1 million and \$15.7 million, respectively. A portion of the book value of carbon credit inventory originates in transfers of fair value from timber and is recorded as an expense at the time of a sale. These amounts are added back to Adjusted EBITDA to be consistent with the treatment of fair value adjustments to timber. This adjustment to net income to calculate Adjusted EBITDA was \$2.8 million and \$11.4 million during the first and second quarters of 2024, respectively.

The following table provides a reconciliation of net income, as determined in accordance with IFRS, to Adjusted EBITDA and Free Cash Flow during each respective period included in the Selected Consolidated Quarterly Information above:

	2025		2024				2023	
(CAD thousands)	Q2	Q1	Q4	Q3	Q2	Q1	Q4	Q3
Net income	\$ 2,667	\$ 3,659	\$ 5,585	\$ 2,215	\$ 7,913	\$ 6,025	\$ 11,593	\$ 6,408
Add / (deduct):								
Interest expense, net	1,069	816	721	654	887	859	778	795
Income tax expense	906	1,522	2,164	939	3,170	2,976	4,795	1,200
Depreciation and amortization	581	236	148	139	128	102	101	106
Fair value adjustments and other	(2,808)	(1,554)	(4,920)	92	(2,894)	(2,189)	(12,869)	(3,593)
Non-cash cost of sales related to carbon credits	—	—	—	—	11,352	2,826	20	—
Adjusted EBITDA ¹	\$ 2,415	\$ 4,679	\$ 3,698	\$ 4,039	\$ 20,556	\$ 10,599	\$ 4,418	\$ 4,916
Add / (deduct):								
Interest paid on debt, net	(1,055)	(897)	(814)	(764)	(892)	(829)	(793)	(764)
Mandatory debt repayments	(166)	(54)	—	—	—	—	—	—
Additions to land, roads and other fixed assets	(258)	(542)	(342)	(292)	(320)	(128)	(69)	(373)
Gain on sale of timberlands and other fixed assets	(136)	(22)	(335)	(1)	(129)	(73)	(5)	77
Proceeds from sale of timberlands and other assets	163	423	1,142	1	138	79	5	80
Current income tax recovery (expense)	(186)	(577)	(298)	(443)	(2,983)	(1,878)	(745)	530
Free Cash Flow ¹	\$ 777	\$ 3,010	\$ 3,051	\$ 2,540	\$ 16,370	\$ 7,770	\$ 2,811	\$ 4,312

1. Non-IFRS Measure. See "Non-IFRS Measures" on page 3 of this report.

The preparation of financial statements in accordance with IFRS requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosures of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenue and expense during the reported period. The critical estimates and judgements applied in preparing Acadian's consolidated financial statements affect the determination of the timing of satisfaction of performance obligations related to revenue recognition, assessment of net recoverable amounts, net realizable values and fair values, including the fair value of assets acquired as part of a business combination, depreciation rates and useful lives, determination of functional currency and the selection of accounting policies.

The critical estimates and judgements made in the preparation of Acadian's consolidated financial statements include, among other things, determining Acadian's customer and the timing of transfer of control in carbon credit sales arrangements, future prices and margins, future sales volumes, future harvest rates and sustainable yields, and discount rates utilized in the valuation of Acadian's timber, roads and land. In making estimates and judgements, management relies on external information and observable conditions where possible, supplemented by internal analysis as required. These estimates and judgements have been applied in a manner consistent with prior periods and there are no known trends, commitments, events or uncertainties that we believe will materially affect the methodology or assumptions utilized in making these estimates and judgements in these consolidated financial statements.

For further reference on critical accounting policies, see our material accounting policies contained in Note 2 of Acadian's 2024 annual MD&A and audited 2024 consolidated financial statements, and Note 2 of Acadian's Q2 2025 interim condensed consolidated financial statements.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods.

Related Party Transactions

There were no related party transactions during the second quarter other than shares issued to Macer in accordance with the DRIP, as included within Dividend Policy of the Company.

Contractual Obligations

The Company has two significant contractual obligations, being the Fibre Supply Agreement and the Crown Lands Services Agreement. During the quarter, Groupe Lebel exercised the option to extend the Fibre Supply Agreement ("FSA") between the Company and Groupe Lebel to January 2031. The provision of timber services under the Crown Lands Services Agreement ("CLSA") at the direction of Twin Rivers Paper Company ("Twin Rivers") has a term equal to the term of the Crown License, including any renewal terms.

The table below summarizes the Company's long-term debt obligations as at June 28, 2025:

(CAD thousands)	Total	Payments Due by Period			
		Less Than One Year	1 to 3 Years (2026-2028)	4 to 5 Years (2029-2030)	After 5 Years (>2030)
Term facilities					
Tranche due March 6, 2027 ¹	\$ 43,763	\$ —	\$ 43,763	\$ —	\$ —
Tranche due March 6, 2030 ¹	21,882	—	—	21,882	—
Tranche due March 6, 2030 ¹	43,763	—	—	43,763	—
	109,408	—	43,763	65,645	—
Equipment loan	1,872	715	1,157	—	—
	\$ 111,280	\$ 715	\$ 44,920	\$ 65,645	\$ —
Interest payments	\$ 15,819	\$ 4,186	\$ 6,721	\$ 4,912	\$ —

1. Represents principal of the U.S. dollar denominated term facilities with a U.S. to Canadian dollar conversion rate of 1.3676, excluding the unamortized deferred financing costs.

There are no scheduled repayments of principal required prior to the maturity dates of the Term Facilities.

The equipment loan is repayable in monthly principal and interest instalments over 3 years.

RISK FACTORS

Risk factors are discussed in the Company's MD&A for the year ended December 31, 2024.

Cautionary Statement Regarding Forward-Looking Information and Statements

This MD&A contains forward-looking information and statements within the meaning of applicable Canadian securities laws that involve known and unknown risks, uncertainties and other factors that may cause the actual results, performance or achievements of Acadian Timber Corp. and its subsidiaries (collectively, “Acadian”), or industry results, to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. Forward-looking information is included in this MD&A and includes statements made in the sections entitled “Segmented Results of Operations – Environmental Solutions”, “Segmented Results of Operations – Maine Timberlands”, “Outlook”, and “Tariffs on U.S. Imports” and without limitation other statements regarding management’s beliefs, intentions, results, performance, goals, achievements, future events, plans and objectives, business strategy, growth strategy and prospects, access to capital, liquidity and trading volumes, dividends, taxes, capital expenditures, projected costs, market trends and similar statements concerning anticipated future events, results, achievements, circumstances, performance or expectations that are not historical facts. All forward-looking statements in this MD&A are qualified by these cautionary statements. Forward-looking statements involve significant risks and uncertainties, should not be read as guarantees of future performance or results, should not be unduly relied upon, and will not necessarily be accurate indications of whether or not such results will be achieved. Actual results may vary. These forward-looking statements include, but are not limited to:

- Expectations regarding the number and timing of carbon credits that will be successfully registered and available for sale. Actual credit issuances will be adjusted each reporting period based on actual harvesting, natural disturbances and other factors, as well as periodic updating for inventory and verification activities.
- Expectations regarding product demand, pricing and end use markets, including expectations for U.S. housing starts, which may be impacted by changes in interest rates, U.S. population demographics and the inventory of homes for sale. Expectations regarding product demand and pricing are based on anticipated market conditions, anticipated regional inventory levels of key customers, and the economic situation of key customers. Estimates for U.S. housing starts are based on forecasts published by major financial institutions.
- Expectations regarding future production volumes and costs associated with internal logging operations which may be impacted by operational efficiency, the regional supply of skilled operators, product demand, pricing and end use markets.
- Expectations regarding the impacts of potential tariffs levied on all U.S. imports from Canada, which may include direct impacts related to changes to the price of and demand for Acadian’s products originating in Canada as well as the U.S., and indirect impacts associated with changes in the price of and demand for the products of Acadian’s key customers and the greater economy.
- Expectations regarding future contractor availability, which may be impacted by regional supply of trained contractors and changes in the demographics of the available workforce.

Other risks and factors are discussed in each of the Annual Information Form dated March 28, 2025 and the Management Information Circular dated March 28, 2025 and other filings of Acadian made with securities regulatory authorities, which are available on SEDAR+ at www.sedarplus.ca. Forward-looking information is based on various material factors or assumptions, which are based on information currently available to Acadian. Readers are cautioned that the preceding list of material factors or assumptions is not exhaustive. Although the forward-looking statements contained in this MD&A are based upon what management believes are reasonable assumptions, Acadian cannot assure readers that actual results will be consistent with these forward-looking statements. The forward-looking statements in this MD&A are made as of the date of this MD&A based on information currently available to management and should not be relied upon as representing Acadian’s views as of any date subsequent to the date of this MD&A. Acadian assumes no obligation to update or revise these forward-looking statements to reflect new information, events, circumstances or otherwise, except as may be required by applicable law.

INTERIM CONDENSED CONSOLIDATED BALANCE SHEETS

(unaudited)

<i>(CAD thousands)</i>			
<i>As at</i>	<i>Note</i>	June 28, 2025	December 31, 2024
Assets			
Current assets			
Cash and cash equivalents		\$ 2,645	\$ 15,250
Accounts receivable and other assets		8,330	8,576
Current income taxes receivable		1,915	—
Inventories	4	1,221	2,094
		14,111	25,920
Timber	5	468,470	471,890
Land, roads, and other fixed assets	6	109,705	104,067
Intangible assets		6,320	6,140
Total assets		\$ 598,606	\$ 608,017
Liabilities and shareholders' equity			
Current liabilities			
Accounts payable and accrued liabilities		\$ 8,736	\$ 10,922
Current income taxes payable		—	229
Dividends payable to shareholders		5,213	5,126
Current portion of long-term debt	7	715	46,045
		14,664	62,322
Long-term debt	7	110,016	68,896
Deferred income tax liabilities, net		137,158	137,770
Total liabilities		261,838	268,988
Shareholders' equity	8	336,768	339,029
Total liabilities and shareholders' equity		\$ 598,606	\$ 608,017

See accompanying notes to interim condensed consolidated financial statements.

INTERIM CONDENSED CONSOLIDATED STATEMENTS OF NET INCOME

(unaudited)

<i>CAD thousands, except per share data)</i>	Note	Three Months Ended		Six Months Ended	
		June 28, 2025	June 29, 2024	June 28, 2025	June 29, 2024
Sales	10	\$ 17,129	\$ 41,191	\$ 41,963	\$ 70,000
Operating costs and expenses					
Cost of sales	10	11,437	26,842	28,798	45,107
Selling, administration and other		3,570	5,169	6,380	8,104
Silviculture		424	233	666	244
		15,431	32,244	35,844	53,455
Operating income		1,698	8,947	6,119	16,545
Interest expense, net		(1,069)	(887)	(1,885)	(1,746)
Other items					
Fair value adjustments and other		2,808	2,894	4,362	5,083
Gain on sale of timberlands and other fixed assets		136	129	158	202
Income before income taxes		3,573	11,083	8,754	20,084
Income tax expense	12	(906)	(3,170)	(2,429)	(6,146)
Net income		\$ 2,667	\$ 7,913	\$ 6,325	\$ 13,938
Net income per share – basic and diluted		\$ 0.15	\$ 0.46	\$ 0.35	\$ 0.81

See accompanying notes to interim condensed consolidated financial statements.

INTERIM CONDENSED CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

(unaudited)

	Three Months Ended		Six Months Ended	
<i>(CAD thousands)</i>	June 28, 2025	June 29, 2024	June 28, 2025	June 29, 2024
Net income	\$ 2,667	\$ 7,913	\$ 6,325	\$ 13,938
Other comprehensive income				
Items that may be reclassified subsequently to net income:				
Unrealized foreign currency translation gain / (loss)	(3,008)	944	(3,343)	2,371
Comprehensive income	\$ (341)	\$ 8,857	\$ 2,982	\$ 16,309

See accompanying notes to interim condensed consolidated financial statements.

INTERIM CONDENSED CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

(unaudited)

<i>Six Months Ended June 28, 2025</i> <i>(CAD thousands)</i>	Note	Common Share Capital	Retained Earnings	Revaluation Surplus	Currency Translation	Shareholders' Equity
Balances as at December 31, 2024		\$ 156,267	\$ 113,103	\$ 38,666	\$ 30,993	\$ 339,029
Changes during the period						
Net income		—	6,325	—	—	6,325
Other comprehensive loss		—	—	—	(3,343)	(3,343)
Dividends to shareholders	13	—	(10,381)	—	—	(10,381)
Common shares issued - DRIP	8	5,138	—	—	—	5,138
Balances as at June 28, 2025		\$ 161,405	\$ 109,047	\$ 38,666	\$ 27,650	\$ 336,768

<i>Six Months Ended June 29, 2024</i> <i>(CAD thousands)</i>	Note	Common Share Capital	Retained Earnings	Revaluation Surplus	Currency Translation	Shareholders' Equity
Balances as at December 31, 2023		\$ 147,618	\$ 111,624	\$ 33,867	\$ 25,873	\$ 318,982
Changes during the period						
Net income		—	13,938	—	—	13,938
Other comprehensive gain		—	—	—	2,371	2,371
Dividends to shareholders	13	—	(10,048)	—	—	(10,048)
Common shares issued - DRIP	8	3,660	—	—	—	3,660
Balances as at June 29, 2024		\$ 151,278	\$ 115,514	\$ 33,867	\$ 28,244	\$ 328,903

See accompanying notes to interim condensed consolidated financial statements.

INTERIM CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS

(unaudited)

		Three Months Ended		Six Months Ended	
(CAD thousands)	Note	June 28, 2025	June 29, 2024	June 28, 2025	June 29, 2024
Cash provided by (used for):					
Operating activities					
Net income		\$ 2,667	\$ 7,913	\$ 6,325	\$ 13,938
Adjustments to net income:					
Income tax expense		906	3,170	2,429	6,146
Depreciation and amortization		581	128	817	230
Fair value adjustments and other		(2,808)	(2,894)	(4,362)	(5,083)
Non-cash cost of sales related to carbon credits		—	11,352	—	14,178
Gain on sale of timberlands and other fixed assets		(136)	(129)	(158)	(202)
Income taxes paid		(676)	(1,792)	(3,007)	(2,243)
Net change in non-cash working capital balances and other		334	4,016	(2,523)	(387)
		868	21,764	(479)	26,577
Financing activities					
Proceeds from equipment loan		—	—	2,189	—
Proceeds from short-term debt		—	—	—	10,298
Repayment of short-term debt		—	(10,298)	—	(10,298)
Mandatory debt repayments		(166)	—	(220)	—
Dividends paid to shareholders		(2,591)	(2,589)	(5,182)	(6,312)
		(2,757)	(12,887)	(3,213)	(6,312)
Investing activities					
Business acquisition	3	—	—	(6,510)	—
Additions to timber, land, roads, and other fixed assets		(258)	(615)	(2,989)	(9,865)
Proceeds from sale of timberlands and other fixed assets		163	138	586	217
		(95)	(477)	(8,913)	(9,648)
Increase / (Decrease) in cash and cash equivalents during the period		(1,984)	8,400	(12,605)	10,617
Cash and cash equivalents, beginning of period		4,629	4,048	15,250	1,831
Cash and cash equivalents, end of period		\$ 2,645	\$ 12,448	\$ 2,645	\$ 12,448

See accompanying notes to interim condensed consolidated financial statements

Details of the net change in non-cash working capital balances and other:

(CAD thousands)	Three Months Ended		Six Months Ended	
	June 28, 2025	June 29, 2024	June 28, 2025	June 29, 2024
Accounts receivable and other assets	\$ (801)	\$ 3,775	\$ 246	\$ 1,656
Inventory	1,974	813	873	(616)
Accounts payable and accrued liabilities	494	(746)	(2,187)	(1,987)
Other	(1,333)	174	(1,455)	560
	\$ 334	\$ 4,016	\$ (2,523)	\$ (387)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

(unaudited) (All figures in Canadian dollars unless otherwise stated)

1. GENERAL

Acadian Timber Corp. (the “Company”) is governed by the *Canada Business Corporations Act* pursuant to articles of arrangement dated January 1, 2010. The Company is a reporting issuer and its common shares are publicly traded on the Toronto Stock Exchange under the stock symbol “ADN”. The principal and head office of the Company is located at 6 Crabtree Ave., Edmundston, New Brunswick, E3V 3K5.

The Company and all of its consolidated subsidiaries (collectively “Acadian”) own and manage approximately 775,000 acres of freehold timberlands in New Brunswick (“New Brunswick Timberlands”) and approximately 300,000 acres of freehold timberlands in Maine (“Maine Timberlands”) and provide timber services relating to approximately 1.3 million acres of Crown licensed timberlands in New Brunswick (“Crown Lands”). Acadian’s primary business is forest management and the production of timber products, including softwood and hardwood sawlogs, pulpwood, and biomass by-products, sold to approximately 90 regional customers. Acadian also generates income through other operations, including real estate and environmental solutions.

Acadian’s operations are subject to seasonal variations and, as a result, operating results vary from quarter to quarter. Harvesting activity can be compromised by inaccessibility to some sites during wet seasons, resulting in decreased harvest levels. Results of one quarter will not be indicative of results that may be achieved in other quarters or for the full year.

As at June 28, 2025, Macer Forest Holdings Inc. (“Macer”) owns 8,938,228 shares representing approximately 49.7% of the outstanding shares of the Company. As of August 6, 2025, Macer owns 9,083,085 shares representing approximately 50.1% of the outstanding shares of the Company and is the ultimate parent entity of the Company.

2. MATERIAL ACCOUNTING POLICIES

These unaudited interim condensed consolidated financial statements have been prepared in accordance with International Accounting Standard (“IAS”) 34, Interim Financial Reporting, as issued by the International Accounting Standards Board (“IASB”) and using the accounting policies adopted and disclosed in Note 2 of Acadian’s audited 2024 consolidated financial statements, except as included below under “Business combinations”. These interim condensed consolidated financial statements should be read in conjunction with Acadian’s audited annual consolidated financial statements for the fiscal year ended December 31, 2024.

These unaudited interim condensed consolidated financial statements were authorized for issuance by the Board of Directors of Acadian on August 6, 2025.

Business combinations

The acquisition method is applied in accounting for business combinations. The consideration transferred is calculated as the sum of the acquisition-date fair values of assets transferred, liabilities incurred and the equity interests issued, if any, which includes the fair value of any asset or liability arising from a contingent consideration arrangement. Acquisition costs are expensed as incurred.

The excess of the consideration transferred, the amount of any non-controlling interest in an acquired entity, and the acquisition-date fair value of any previous equity interest in an acquired entity over the fair value of the net identifiable assets acquired is recorded as goodwill. If those amounts are less than the fair value of the net identifiable assets of the business acquired, the difference is recognized directly in profit or loss as a bargain purchase.

Critical Judgments and Estimates

The preparation of consolidated financial statements requires management to make critical judgments, estimates and assumptions that affect the carrying amounts of certain assets and liabilities, disclosure of contingent assets and liabilities and the reported amounts of revenue and expenses recorded during the periods. These estimates and judgments have been applied in a manner consistent with the disclosure included in Note 2 of Acadian’s audited 2024 consolidated financial

statements, except for the estimation of fair value of assets acquired as part of the business acquisition described in Note 3.

3. BUSINESS ACQUISITION

On February 28, 2025, Acadian acquired certain logging and related assets of A & A Brochu, LLC (“A & A Brochu”) and its affiliates for total cash consideration of \$6.9 million with the objective of increasing production capacity and reducing operating costs in Maine. The assets include harvesting, trucking and road working equipment and related real estate which, combined with an established workforce, constitute a portion of A & A Brochu's logging operation in Maine. Management has determined that the acquired set of inputs and processes constitutes a business.

Recognized amounts of identifiable assets acquired are as follows:

<i>(CAD thousands)</i>	
Equipment	\$ 5,235
Land and buildings	1,461
Intangible assets	234
Total identifiable assets acquired	\$ 6,930

The fair values are provisional, pending completion of a detailed inventory and fair value assessment of all assets acquired. No liabilities were assumed. Fair values for tangible assets were estimated using market prices for similar items when available and depreciated cost when appropriate. Fair values for intangible assets were estimated based on the present value of net cash flows expected to be generated.

Acquisition-related costs of \$0.2 million are included in selling, administration and other expenses in the consolidated statements of net income, and in operating activities in the consolidated statements of cash flows for the six months ended June 28, 2025. A hold back in the amount of \$0.4 million is held by Acadian to secure any payment or indemnification obligations of the seller for a period of up to eighteen months.

4. INVENTORIES

<i>(CAD thousands)</i>		
<i>As at</i>	June 28, 2025	December 31, 2024
Log inventory	\$ 554	\$ 1,837
Carbon credits	244	257
Other	423	—
Total	\$ 1,221	\$ 2,094

5. TIMBER

<i>(CAD thousands)</i>	
Balance as at December 31, 2023	\$ 442,830
Additions	6,741
Disposals	(703)
Gains arising from growth	33,136
Reduction arising from harvest	(26,097)
Gain from fair value adjustment and other changes	2,692
Foreign exchange	13,291
Balance as at December 31, 2024	\$ 471,890
Disposals	(80)
Gains arising from growth	15,421
Reduction arising from harvest	(10,489)
Foreign exchange	(8,272)
Balance as at June 28, 2025	\$ 468,470

Timber is measured at fair value. During the year, adjustments are made to standing timber assets to reflect the change in fair value due to gains arising from growth and reductions arising from harvest. Average selling price less costs of harvesting and selling is applied to expected volume growth to calculate gains arising from growth, and to the harvested volume to calculate reductions arising from harvest. On an annual basis, the fair value of standing timber assets is reassessed with the assistance of licensed independent third-party appraisers. Fair value adjustments are recognized in net income.

6. LAND, ROADS AND OTHER FIXED ASSETS

<i>(CAD thousands)</i>	Land	Roads	Bridges and Pavement	Equipment and Other	Total
Cost					
Balance as at December 31, 2023	\$ 77,183	\$ 9,426	\$ 5,982	\$ 3,054	\$ 95,645
Additions	2,392	52	96	1,218	3,758
Disposals	(107)	—	—	—	(107)
Foreign exchange	2,847	482	268	84	3,681
Revaluations	6,400	222	—	—	6,622
Balance as at December 31, 2024	\$ 88,715	\$ 10,182	\$ 6,346	\$ 4,356	\$ 109,599
Additions	92	—	—	2,897	2,989
Business acquisition (Note 3)	22	—	—	6,616	6,638
Disposals	(11)	—	—	(308)	(319)
Foreign exchange	(2,226)	(318)	(164)	(325)	(3,033)
Balance as at June 28, 2025	\$ 86,592	\$ 9,864	\$ 6,182	\$ 13,236	\$ 115,874
Accumulated Depreciation					
Balance as at December 31, 2023	\$ —	\$ —	\$ (2,815)	\$ (1,976)	\$ (4,791)
Depreciation	—	—	(159)	(358)	(517)
Foreign exchange	—	—	(174)	(50)	(224)
Balance as at December 31, 2024	\$ —	\$ —	\$ (3,148)	\$ (2,384)	\$ (5,532)
Depreciation	—	—	(69)	(709)	(778)
Foreign exchange	—	—	110	31	141
Balance as at June 28, 2025	\$ —	\$ —	\$ (3,107)	\$ (3,062)	\$ (6,169)
Carrying Amounts					
As at December 31, 2024	\$ 88,715	\$ 10,182	\$ 3,198	\$ 1,972	\$ 104,067
As at June 28, 2025	\$ 86,592	\$ 9,864	\$ 3,075	\$ 10,174	\$ 109,705

7. LONG-TERM DEBT

<i>(CAD thousands)</i>		
<i>As at</i>	June 28, 2025	December 31, 2024
Term facilities	\$ 109,408	\$ 115,112
Equipment loan	1,872	—
	111,280	115,112
Less:		
Deferred debt issuance costs	(549)	(171)
Net long-term debt	\$ 110,731	\$ 114,941
Less:		
Current portion	(715)	(46,045)
Net long-term debt, long-term portion	\$ 110,016	\$ 68,896

Acadian has term credit facilities with MetLife Insurance Company, with maturity dates ranging from March 6, 2027 to March 6, 2030. These credit facilities include a revolving credit facility of up to U.S. \$10.0 million (the “Revolving Facility”) for general corporate purposes and term credit facilities of U.S. \$80 million (the “Term Facilities”). The Term Facilities bear interest at rates ranging from 2.7% to 5.3%. The Revolving Facility bears interest at floating rates based on the Secured Overnight Financing Rate plus applicable margin. Floating interest rates give rise to interest rate risk as net income and cash flows may be negatively impacted by fluctuations in interest rates. There are no scheduled repayments of principal required prior to the maturity dates of the Term Facilities.

On March 6, 2025, U.S.\$32.0 million of the term loan matured and was refinanced under essentially the same terms as the existing facilities, and with a maturity date of March 6, 2030 and an interest rate of 5.25%.

As at June 28, 2025, Acadian had borrowed U.S.\$80 million (December 31, 2024 – U.S. \$80.0 million) under the Term Facilities and U.S.\$nil (December 31, 2024 – U.S.\$nil) under the Revolving Facility. U.S.\$2.3 million of the Revolving Facility is reserved to support the minimum cash balance requirement of the Term Facilities. As security for these facilities, Acadian granted the lenders a security interest over all of its assets. The facilities are subject to customary terms and conditions for borrowers of this nature, including limits on incurring additional indebtedness and granting liens or selling assets without the consent of the lenders. The credit facilities are also subject to the maintenance of a maximum loan-to-value ratio. Acadian is in compliance with all covenants as at June 28, 2025 and December 31, 2024.

Acadian has a \$2.0 million Canadian dollar denominated revolving credit facility with a major Canadian bank for general corporate purposes. This facility bears interest at floating rates based on bank prime rates plus applicable margin and is due on demand. No amounts were drawn on this facility as at June 28, 2025 or December 31, 2024.

On January 2, 2025 Acadian entered into an equipment financing agreement in the amount of U.S.\$1.5 million which bears interest at 2.5% and is repayable in monthly principal and interest instalments over 3 years. The related equipment has been pledged as security.

The fair value of the Term Facilities as at June 28, 2025 is \$106.0 million (December 31, 2024 – \$110.2 million). The fair value of the Term Facilities is determined using the discounted cash flow approach and is measured under Level 2 of the fair value hierarchy. Future cash flows are estimated based on the terms under the Term Facilities and discounted at a rate reflecting appropriate market fundamentals relating to the debt. The carrying value of the equipment loan is assumed to reasonably approximate fair value given the recent timing of the agreement and lack of significant changes in underlying market conditions.

8. SHAREHOLDERS' EQUITY

Acadian is authorized to issue an unlimited number of common shares. The common shares have no stated par value.

Acadian has in place a dividend reinvestment plan (“DRIP”) whereby Canadian resident shareholders may elect to automatically have their dividends reinvested in additional shares. Shares issued under the DRIP are issued directly from the treasury of the Company at a price equal to the volume-weighted average trading price of the Company’s shares on the TSX for the five trading days immediately preceding the relevant dividend payment date, which is typically on or about the 15th of April, July, October and January. During the quarter, Acadian issued 154,265 common shares in accordance with the DRIP.

The Company’s issued and outstanding common shares are as follows:

<i>(CAD thousands except share data)</i>	Number of Shares	Share Capital
Balance as at December 31, 2024	17,675,687	\$ 156,267
Common shares issued – DRIP	301,026	5,138
Balance as at June 28, 2025	17,976,713	\$ 161,405

9. NET INCOME PER SHARE

Basic net income per share is calculated by dividing net income attributable to common shareholders by the weighted average number of common shares outstanding during the period. There are no dilutive potential shares.

	Three Months Ended		Six Months Ended	
	June 28, 2025	June 29, 2024	June 28, 2025	June 29, 2024
Weighted average number of common shares – basic and diluted	17,947,895	17,368,399	17,886,223	17,311,912

10. SEGMENTED INFORMATION

Acadian's presentation of reportable segments is based on how management has organized the business in making operating and capital allocation decisions and assessing performance. Acadian has three reportable segments: New Brunswick Timberlands, Maine Timberlands and Environmental Solutions. The Environmental Solutions segment includes business activities related to the development and sale of voluntary carbon credits.

The material accounting policies followed for the segments are consistent with those described in Note 2. Adjusted EBITDA is used to evaluate the operational performance of reportable segments. Adjusted EBITDA is defined as net income before interest, income taxes, fair value adjustments, non-cash cost of sales related to carbon credits, recovery of or impairment of land and roads, and depreciation and amortization.

Sales, Cost of sales and Adjusted EBITDA by reportable segment are as follows:

(CAD thousands)	Three Months Ended		Six Months Ended	
	June 28, 2025	June 29, 2024	June 28, 2025	June 29, 2024
Sales				
New Brunswick Timberlands				
Softwood	\$ 7,574	\$ 6,319	\$ 16,867	\$ 15,234
Hardwood	4,657	5,959	12,735	12,703
Biomass	100	13	523	708
Timber services and other sales	2,101	3,926	6,375	6,642
Total New Brunswick Timberlands sales	\$ 14,432	\$ 16,217	\$ 36,500	\$ 35,287
Maine Timberlands				
Softwood	\$ 1,332	\$ 2,745	\$ 2,850	\$ 5,703
Hardwood	928	2,294	1,806	3,878
Biomass	87	21	113	23
Timber services and other sales	350	256	694	521
Total Maine Timberlands sales	\$ 2,697	\$ 5,316	\$ 5,463	\$ 10,125
Environmental Solutions	—	19,658	—	24,588
Total sales	\$ 17,129	\$ 41,191	\$ 41,963	\$ 70,000

(CAD thousands)	Three Months Ended		Six Months Ended	
	June 28, 2025	June 29, 2024	June 28, 2025	June 29, 2024
Cost of sales				
New Brunswick Timberlands	\$ 8,854	\$ 10,547	\$ 23,653	\$ 22,574
Maine Timberlands	2,583	3,906	5,145	7,099
Environmental Solutions	—	12,389	—	15,434
Total cost of sales	\$ 11,437	\$ 26,842	\$ 28,798	\$ 45,107

	Three Months Ended		Six Months Ended	
(CAD thousands)	June 28, 2025	June 29, 2024	June 28, 2025	June 29, 2024
Adjusted EBITDA				
New Brunswick Timberlands	\$ 3,964	\$ 4,523	\$ 9,855	\$ 10,519
Maine Timberlands	(937)	887	(1,611)	2,050
Environmental Solutions	—	15,701	—	19,839
Total segment Adjusted EBITDA	3,027	21,111	8,244	32,408
Corporate expenses	(612)	(555)	(1,150)	(1,253)
Non-cash cost of sales related to carbon credi	—	(11,352)	—	(14,178)
Fair value adjustments and other	2,808	2,894	4,362	5,083
Interest expense, net	(1,069)	(887)	(1,885)	(1,746)
Depreciation and amortization	(581)	(128)	(817)	(230)
Income before income taxes	\$ 3,573	\$ 11,083	\$ 8,754	\$ 20,084

Approximately 25% and 24% of total sales during the three months and six months ended June 28, 2025 were originated with customers domiciled in the U.S. and the balance in Canada (June 29, 2024 – 69% and 59%). Approximately 22% and 19% of total sales were denominated in U.S. dollars during the same period (June 29, 2024 – 67% and 56%).

Acadian sells its products to many companies in North America. For the three months and six months ended June 28, 2025, sales to the largest and next largest customer accounted for 29% and 19%, and 16% and 9% respectively (June 29, 2024 – 51% and 8%, and 37% and 9% respectively).

Included in total sales during the three months and six months ended June 28, 2024 were \$19.7 million and \$4.9 million, respectively, of carbon credits sales to a single customer domiciled in the U.S. There were no sales of carbon credits during the three and six months ended June 28, 2025.

11. FINANCIAL INSTRUMENTS

Financial Risk management - Foreign Currency Risk

Acadian has designated a hedging relationship between part of the net investment in its Maine subsidiary and its U.S. dollar-denominated debt, which mitigates the foreign currency risk arising from the subsidiary's net assets. The long-term debt is designated as a hedging instrument for the changes in the value of the net investment that is attributable to changes in the Canadian dollar/U.S. dollar spot rate.

To assess hedge effectiveness, Acadian determines the economic relationship between the hedging instrument and the hedged item by comparing changes in the carrying amount of the debt that is attributable to a change in the spot rate with changes in the investment in the foreign operation due to movements in the spot rate (the offset method). Acadian's policy is to hedge the net investment only to the extent of the debt principal. There was no ineffectiveness to be recorded from the hedge during the quarter.

The change in the carrying amount of long-term debt as a result of foreign currency movements during the quarter, as recognized in OCI, and the change in the hedged item was \$5.0 million and \$5.7 million for the three months and six months ended June 28, 2025 (June 29, 2024 – \$1.1 million and \$3.7 million).

Interest Rate Risk

Acadian's interest rate risk exposure arises from its floating interest rate revolving credit facility to the extent funds are drawn (Note 7). As at June 28, 2025, no balance was drawn (December 31, 2024 - \$nil). A change in interest rates would have no impact on the fixed interest rate Term Facilities or Equipment Loan.

12. INCOME TAXES

The components of income taxes recognized in profit or loss are as follows:

	Three Months Ended		Six Months Ended	
<i>(CAD thousands)</i>	June 28, 2025	June 29, 2024	June 28, 2025	June 29, 2024
Current income tax expense	\$ 186	\$ 2,983	\$ 763	\$ 4,861
Deferred income tax expense	720	187	1,666	1,285
Total income tax expense	\$ 906	\$ 3,170	\$ 2,429	\$ 6,146

Acadian's effective tax rate is different from the domestic statutory income tax rate due to the differences set out below:

	Three Months Ended		Six Months Ended	
<i>(CAD thousands)</i>	June 28, 2025	June 29, 2024	June 28, 2025	June 29, 2024
Income taxes at statutory rate	\$ 1,037	\$ 3,212	\$ 2,540	\$ 5,824
Foreign tax rate differential	15	82	20	53
Previously unrecognized tax attributes	—	(264)	—	105
Changes in estimates related to prior years	(159)	112	(159)	108
Other	13	28	28	56
Total income tax expense	\$ 906	\$ 3,170	\$ 2,429	\$ 6,146

13. DIVIDENDS TO SHAREHOLDERS

Acadian pays quarterly dividends to the extent determined prudent by the Board of Directors. Total dividends declared for the three and six months ended June 28, 2025 were \$5.2 million and \$10.4 million, respectively (June 29, 2024 – \$5.0 million and \$10.0 million) or \$0.29 and \$0.58 per share (June 29, 2024 – \$0.29 and \$0.58 per share).

14. SUBSEQUENT EVENTS

On July 15, 2025, Acadian issued 146,490 common shares at a price of \$17.894 in accordance with the DRIP.

BOARD AND MANAGEMENT

BOARD OF DIRECTORS

Malcolm Cockwell
Managing Director
Haliburton Forest

Bruce Robertson
Corporate Director

Karen Oldfield
Interim President and CEO
Nova Scotia Health

Heather Fitzpatrick
President and CEO
Halmont Properties Corporation

Erika Reilly
Corporate Director

Adam Sheparsi
President and
Chief Executive Officer
Acadian Timber Corp.

MANAGEMENT

Adam Sheparsi
President and
Chief Executive Officer
Acadian Timber Corp.

Susan Wood
Chief Financial Officer
Acadian Timber Corp.

CORPORATE AND SHAREHOLDER INFORMATION

HEAD OFFICE

6 Crabtree Ave.
Edmundston, N.B. E3V 3K5

Please direct your inquiries to:
Susan Wood
Chief Financial Officer
t. 506-737-2345
e. ir@acadiantimber.com

TRANSFER AGENT AND REGISTRAR

Shareholder inquiries relating to dividends, address changes and shareholder account information should be directed to the Company's transfer agent:

TSX Trust Company
P.O. Box 700, Station B
Montreal, QC H3B 3K3
t. 1-800-387-0825 (toll free in North America)
f. 1-888-249-6189
e. shareholderinquiries@tmx.com
www.tsxtrust.com

SHARE INFORMATION

Toronto Stock Exchange: ADN
Fully Diluted Shares Outstanding (June 28, 2025): 17,976,713
Targeted 2025 Quarterly Dividend: \$0.29 per share
Record Date: Last business day of each quarter
Payment Date: On or about the 15th day of each subsequent month

www.acadiantimber.com

Acadian Timber Corp.
6 Crabtree Ave.
Edmundston, NB
E3V 3K5
acadiantimber.com



ACADIAN